

Robinhood Markets, Inc.

HOOD NASDAQ

Hold	\$88.41 ▼ 1.60%	12M Price Target \$95.00	52-Week Range \$63.52 – \$153.86	Market Cap \$79.61B
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HOOD: Prediction Markets Boom, Crypto Slumps, Analysts Trim

WHAT HAPPENED

- HOOD beat earnings with RECORD prediction markets revenue (that's the event-contracts business — think betting on elections, sports, Fed decisions) but crypto trading revenue cratered -38%. The market is selling the news because the growth story is getting lopsided — one engine is on fire, the other is stalling.
- Goldman, Barclays, and Jefferies all trimmed price targets even after the beat. When three big banks cut PTs on a beat, it usually means they think the stock got ahead of itself — remember, HOOD ran from \$63 to \$153 this year before pulling back.

WHY IT MATTERS

The story here is a business-mix shift happening in real time. Prediction markets going record-high means HOOD is successfully pivoting into a new revenue stream that could carry them if crypto stays cold — but it also means their fate is now tied to whether regulators let event contracts keep growing. The 38% crypto revenue drop probably reflects lower retail volumes and tighter spreads as competition from Coinbase and Kraken intensifies, not a HOOD-specific problem. Net-net: this is a stock priced for continued explosive growth (still 28% off its 52-week high but market cap near \$80B), and the analyst cuts suggest Wall Street thinks the easy money's been made — expect choppy trading until the next catalyst.

POLICY & POLITICAL WATCH

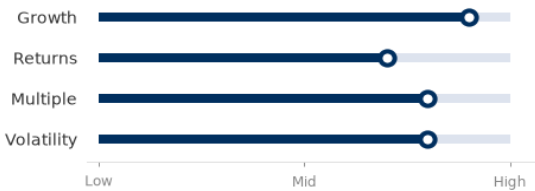
The big one: the CFTC (the federal agency that regulates futures/derivatives) is actively deciding whether prediction markets — HOOD's fastest-growing business — count as legal event contracts or illegal gambling. A friendly ruling under the current administration (which has leaned crypto/fintech-permissive) would be a massive tailwind; a crackdown would gut the thesis. Separately, the pending market-structure legislation in Congress (the successor to FIT21) would give crypto exchanges clearer rules — that helps HOOD's crypto arm long-term but doesn't fix the near-term volume slump. Watch also for any state-level pushback on prediction markets, especially from states with big lottery revenues that see this as competition.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$88.41
12M Price Target	\$95.00
Upside / (Downside)	+7.5%
Market Cap	\$79.61B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.40
Fwd P/E	47.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$100.00	\$90.00	\$78.00
6 Months	\$120.00	\$95.00	\$70.00
1 Year	\$140.00	\$100.00	\$65.00
2 Years	\$175.00	\$115.00	\$55.00
5 Years	\$250.00	\$150.00	\$45.00
10 Years	\$400.00	\$220.00	\$30.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+5.58% today) is ripping — likely AI-driven mega-cap strength. Consumer Discretionary holding up (+2.97% over 5 days) suggests retail spending resilience, which indirectly helps HOOD (people with disposable income trade more).

COOLING OFF: Financials (-0.45% today, but +1% for the week) is mixed — traditional banks aren't the story right now. Utilities and Materials weakening suggests risk-on rotation.

ROTATION WATCH: Money is clearly rotating into Tech and away from defensives. HOOD sits in an odd spot — it's classified as Financials but trades like a tech/fintech growth name, so it's caught between two narratives.

RELATED PLAY: If prediction markets are the future, watch Kalshi (private) and DraftKings (DKNG) — DKNG could pivot into event contracts, and Interactive Brokers (IBKR) is quietly expanding here too.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Benefiting from institutional crypto adoption and stablecoin legislation tailwinds.
- IBKR (Interactive Brokers): Steady grower with less regulatory drama, winning share with sophisticated traders.

HOOD CONTEXT: HOOD is LAGGING today after leading the fintech pack for months. The pullback from \$153 to \$88 (down 43% from highs) tells you the market is repricing growth expectations. It's still up huge year-over-year, but the "easy" gains are done — from here, you need real fundamental delivery to justify the multiple.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the business pivot but the valuation and regulatory overhang keep me from pounding the table.

POSITION SIZE: 2-4% of portfolio — this is a volatile name (52-week range \$63-\$154, meaning it can double or halve in a year) so size it like the wild ride it is.

ENTRY POINTS: I'd want \$78-82 to add — that's a technical support zone and a spot where the risk/reward improves. Chasing at \$88 into analyst downgrades is not my move.

TIME HORIZON: 12-18 months — the catalyst you're waiting for is CFTC clarity on prediction markets plus a stabilization in crypto revenue.

WHEN TO BAIL: If prediction markets revenue growth stalls for two quarters, or if there's an adverse CFTC ruling, or if the stock breaks \$70 on volume — get out.

HEDGING: The options flow is BULLISH (put/call ratio 0.30 — meaning 3x more call buyers than put buyers) so short-term traders are positioned up. If you own the stock, consider selling a covered call at \$100 for August — you collect premium and cap upside where analysts think the stock is fully valued anyway.